Price rises after E and busts the downward breakout when it closes above the top of the pattern, at F (a breakaway gap). This is another example where bearish selling pressure wasn't high enough to overcome bullish buying demand. The bulls didn't buy like crazy and push price higher. That's clear from the anemic volume surrounding the breakout, but the stock moved up anyway.

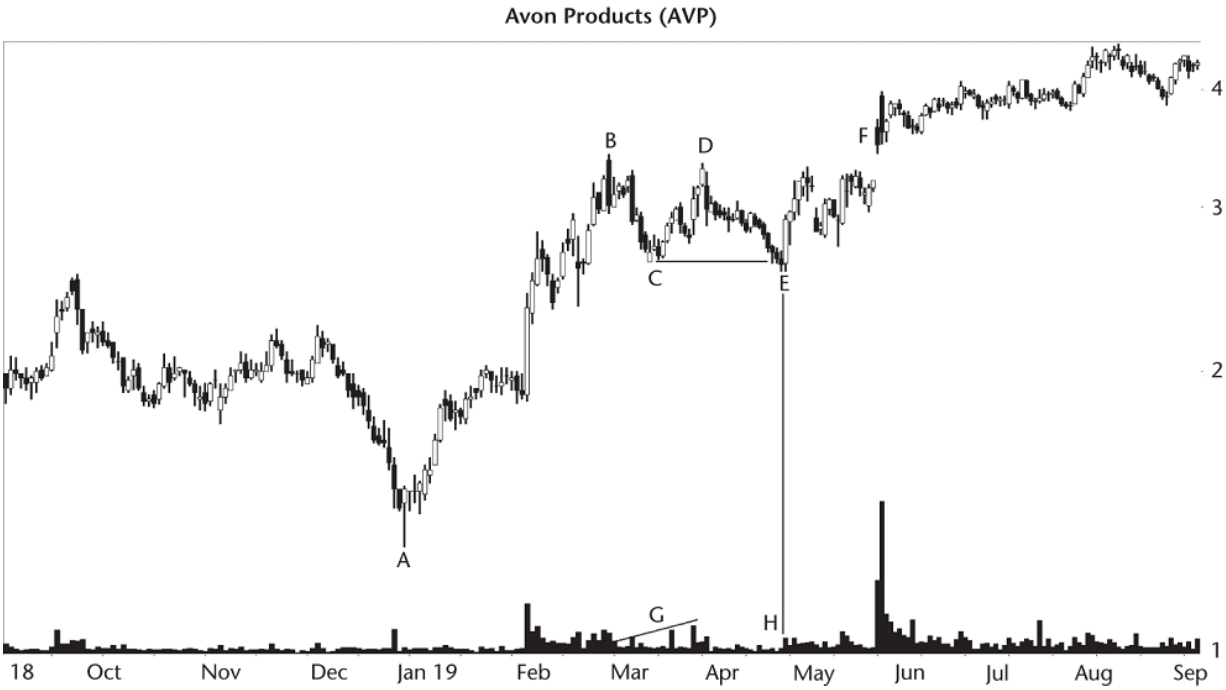

Figure 6.3 Price fails to drop more than 5% after the downward breakout.

The failure of this stock to stage a meaningful decline at E happens 14% of the time, and this is one example. A busted big M happens 38% of the time, so that's more alarming.

Let's talk more about numbers.

Statistics

Table 6.2 shows general statistics for the big M. Notice that the tables are not split into up and down breakouts. That's because valid big Ms don't have upward breakouts, at least not in this universe.

Number found. I uncovered most big M patterns manually by searching through more than 1,700 stocks (finding big Ms in 772 stocks) from mid-